Note 5. Federal and State Income Taxes

No amounts have been provided for current and deferred federal and state tax expense in the statements of income for the years ended May 31, 2008 and June 2, 2007, as a result of recurring net operating losses and the related full valuation allowance on the Company's net deferred tax assets.

A reconciliation of income tax expense computed by applying the U.S. Federal statutory rates to income before income taxes and actual income tax expense is as follows:

	2008	2007
Federal income tax expense computed at the statutory rates	$ 19,900	$ 14,700
State income tax, net of federal income tax expense	7,300	5,400
Change in deferred tax asset valuation allowance	(27,200)	(20,100)
Total income tax expense	$ -	$ -

The tax effects of significant temporary differences that comprise deferred tax assets and liabilities at May 31, 2008 and June 2, 2007, are as follows:

	2008	2007
Deferred tax assets:		
Net operating loss carryforward	$ (94,700)	$ (125,000)
Other	(16,700)	(12,200)
Deferred tax liabilities:		
Depreciable basis of property and equipment	6,000	4,600
Deferred tax asset valuation allowance	105,400	132,600
	$ -	$ -

Note 5. Federal and State Income Taxes (continued)

At May 31, 2008, the Company has net operating loss carryforwards for federal and state income tax purposes of approximately $428,000 and $554,000, respectively. The Company has established a full valuation allowance, which effectively reduces the carrying value of its net deferred taxes to zero at May 31, 2008 and June 2, 2007. Unless the Company realizes sufficient taxable income in future periods to demonstrate that the likelihood of realization of the net deferred tax assets is reasonably assured under the accounting guidelines of SFAS No. 109, this valuation allowance will be continued in future periods. If not utilized, the carryforwards will expire at various dates through 2025.